

Christopher Maag v. Daniel R. Laughlin, et al.

20CV44843 DEMURRER

Defendant Laughlin Trust demurs, pursuant to Code of Civil Procedure section 430.10, to the first, second, and third causes of action of Plaintiff's Complaint on the grounds that, as a trust, it cannot be sued. (See Notice of Motion at 1:27-2:8.) Defendants Laughlin Trust, Daniel R. Laughlin, Claire S. Laughlin, and Gregory Patterson demur, pursuant to Code of Civil Procedure section 430.10, to the third cause of action of Plaintiff's Complaint on the ground that it fails to state facts sufficient to constitute a cause of action against any of them for Fraudulent Conveyance. (See *id.* at 2:6-7.)

Defendants first argue that all three causes of action fail as to Defendant Laughlin Trust because a trust cannot be sued. This is true for "an express trust [that is] merely a relationship by which one person or entity holds property for the benefit of some other person or entity." (*Presta v. Tepper* (2009) 179 Cal.App.4th 909, 913. This type of 'trust', "can neither sue nor be sued in its own name. Instead, the real party in interest in litigation involving a trust is always the trustee." (*Id.* at 914.)

The Complaint names "Laughlin Trust" as a defendant. (See Complaint at ¶¶ 1, 5, subd. (a).) Plaintiff argues that the person sued under the name Laughlin Trust "may be a legal entity or an unincorporated association" and is therefore subject to being sued. (See Opposition at 4:14-15.) The Court understands Plaintiff to infer, from this argument, that the Complaint does not contain allegations from which it can be concluded that the party sued as "Laughlin Trust" is the type of express trust that cannot be sued under the holding in *Presta v. Tepper, supra*, 179 Cal.App.4th 909. The Court disagrees

A demurrer is treated as "admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) Paragraph 5 of the Complaint states that "Each defendant named above is a natural person except defendant Laughlin Trust" which is then explicitly identified as "a trust." (Complaint at ¶ 5.) Plaintiff does not identify the Laughlin Trust in the Complaint as a Real Estate Investment Trust or a "commercial trust" or any other form of "legal entity" discussed in Plaintiff's Opposition. (See Opposition at 4:14-25.)

To the extent that Plaintiff wishes to allege that the Laughlin Trust is such a legal entity, the Court grants leave to amend the Complaint to so allege. To the extent that Plaintiff remains "unsure of the exact nature of the Laughlin Trust, and unaware of the identity of the trustee" the present ruling is made without prejudice to Plaintiff's right, upon learning the nature of the former and/or the identity of the latter, to subsequently substitute the Laughlin Trust and/or its

trustee for one or more of the 100 Doe Defendants named in the Complaint. (See Opposition at 5:1-2; see also Complaint at p. 1.)

Defendants next contend that the Complaint fails to allege facts sufficient to state a cause of action for fraudulent conveyance. Defendants argue that the cause of action is subject to the heightened specificity of pleading required for fraud claims. Defendant presents no authority supporting that position, however. Plaintiff counters that “Defendant mixes the rules for a fraudulent conveyance with fraud. A ‘fraudulent conveyance action is not a ‘fraud’ action, thus ordinary pleading rules apply.” (Opposition at 7:12-13.) Plaintiff similarly fails to provide authority for *this* suggestion.

The Court suspects that the reason neither party provided such authority is that it is unclear from the allegations of the Complaint whether Plaintiff is alleging fraud.

To the extent that the basis of the claim is that the defendants made the alleged transfer of the property with an actual intent to defraud the plaintiff, the heightened pleading standard would apply. (See, *e.g.* *Albertoli v. Branham* (1883) 80 Cal. 631, 633-34.) Plaintiff does allege such fraudulent intent in the simple language of the complaint. (See Complaint at 6:9-11 “[a]s a result of the negligence alleged herein, Defendants have taken to make an (off record) transfer of the Property to Defendant Doe 100, with an actual intent to hinder, delay, and defraud the Plaintiff”].) However, a claim under the Uniform Voidable Transactions Act (UVTA) may be successfully made in the absence of fraud. (See, *e.g.*, Civil Code, § 3439.04, subd. (a)(1) “[a] transfer made or obligation incurred by a debtor is voidable as to a creditor, whether the creditor’s claim arose before or after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation...[w]ith actual intent to hinder, delay, or defraud any creditor of the debtor”].) Use of the disjunctive in the phrase, “hinder, delay, or defraud” suggests that a plaintiff may state a cause of action under the UVTA without alleging fraud.

Ultimately, the Court concludes that the allegations of the third cause of action fail even the minimal pleading standards that Plaintiff urges apply. A demurrer is treated as “admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “The Supreme Court has consistently stated the guideline that ‘a plaintiff is required only to set forth the essential facts of his case with reasonable precision and with particularity sufficient to acquaint a defendant with the nature, source and extent of his cause of action.’ [Citations.]” (*Semole v. Sansoucie* (1972) 28 Cal.App.3d 714, 719.)

The third cause of action is pled almost exclusively in conclusions that track the language of the UVTA. The only “essential fact” pled therein is the identification of the subject property. Missing are any allegations identifying the asserted “(off record) transfer of the property,” and/or the identity of the transferee. Moreover, Plaintiff alleges that the asserted off record transfer was made “[a]s a result of the negligence alleged herein.” However, the negligence alleged through the Complaint is in the nature of failure to maintain the physical premises of the property. (See,

e.g., Complaint at ¶ Prem.L-1.) It is unclear how the negligent maintenance of the physical condition of the property could result in transfer of title thereto.

For the foregoing reasons the Court concurs that the allegations of the Complaint are insufficient to state a cause of action under the UFTA (whether under a theory of fraudulent or otherwise actionable transfer) against any of the Defendants and is significantly lacking the necessary detail if in fact intended to assert a claim for fraud. .

Generally, it is an abuse of discretion for a court to deny leave to amend where there is any reasonable possibility that a Plaintiff can state a good cause of action. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349.) Here the Court finds that there is a reasonable possibility that Plaintiff can state a good cause of action and allege facts sufficient to state each cause of action. Based on the foregoing, the demurrer is SUSTAINED WITH 10 DAYS' LEAVE TO AMEND. (See Rules of Court, rule 3.1320, subd. (g).)

The clerk shall provide notice of this ruling to the parties forthwith. Defendants to prepare a formal Judgment pursuant to Rule of Court 3.1312 in conformity with this ruling.

MARTIN v. MARTIN, et al

19CV44348

**MOTION FOR HEARING FOR FINAL JUDGMENT FOR
PARTITION OF REAL PROPERTY BY SALE; APPROVAL OF
SALE; APPROVAL OF FINAL ACCOUNTING, INCLUDING
EXPENSES OF SALE, OTHER COSTS OF PARTITION,
APPROVAL OF THE FINAL AMOUNTS OF PLAINTIFF'S
EQUITABLE LIENS ON DEFENDANTS' INTERESTS; AND
APPROVAL OF DISTRIBUTION OF NET PROCEEDS OF SALE**

Plaintiff Gregory Martin moves for an order granting final judgment for partition of real property, and approval of the sale of the subject property, the final accounting (including expenses of sale and other costs of partition), the final amounts of Plaintiff's equitable liens on Defendants' respective interests, and distribution of the net proceeds of the sale.

Plaintiff's motion and each request for relief therein are supported by evidence in the form of the Declaration of Gregory Martin in support thereof.

Based on the foregoing, the motion is GRANTED.

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiff to prepare a formal Judgment pursuant to Rule of Court 3.1312 in conformity with this ruling.